# *Israel post-election outlook*

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Israel post-election outlook

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Although Israeli Prime Minister Benjamin Netanyahu's bloc leads in yesterday’s elections with a projected low-to-mid-50s Knesset seats versus high-40s/low-50s seats for the anti-Netanyahu bloc, neither side has a clear path to a 61-seat majority, and a new election is now the most likely outcome (55% odds).
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The Anti-Netanyahu bloc remains motivated to remove Netanyahu but will struggle to find a mutually acceptable accommodation among Jewish and Arab Israeli opposition parties needed to form a minority government (25%), while extreme political polarization and personality differences make a national unity government an even more remote prospect (20%).
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As interim prime minister, Netanyahu retains strong incentives to resume military operations against Iran following the US midterm elections; President Donald Trump's appetite for a short, intense campaign may conflict with the likely window for Iranian retaliation.

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Speakers:

Ambassador Daniel Shapiro, Consultant, Eurasia Group; former US Ambassador to Israel

Firas Maksad, Managing Director, Middle East and North Africa, Eurasia Group (moderator)

Election Results and What the Numbers Mean

The Knesset (Israel's 120-seat parliament) requires 61 seats to form a majority government, and no single party has ever reached that threshold by itself. The Netanyahu bloc, which held 68 seats after the last election, has dropped to approximately 53–54 seats. The anti-Netanyahu bloc—comprising of the

Yashar Party (led by former Israel Defense Forces chief of staff Gadi Eisenkot), the Together party (led by former prime minister Naftali Bennett), Yisrael Beiteinu (led by former defense minister Avigdor Lieberman), and the Democratic party (led by Yair Golan)—hold roughly 49 seats. The two Arab parties, Ra'am and the Joint List, together may net 17–19 seats, a potential historic high, though that number is likely to decline slightly once outstanding soldier ballots are counted.

Likud finished with 27 seats—below its current 32 but well above pre-election polls that had it as low as 18–19 seats. Eisenkot's Yashar party has come in at around 21 seats. The ultra-Orthodox parties underperformed, partly due to lower-than-expected turnout attributed to disillusionment over Netanyahu's failure to deliver a permanent draft exemption.

Three Government Formation Scenarios

Ambassador Shapiro outlined three main scenarios:

1.
Deadlocked Knesset and early elections (55%): If no government forms in the coming months, a new election would be called, likely in March 2027. This is assessed as the most likely outcome, driven by Netanyahu's incentive structure: He will remain as interim prime minister, would use the formation period to consolidate his base, benefit from anticipated war-related developments, and attempt to improve on his ~54 seats in a subsequent vote, banking on opposition exhaustion and difficulty replicating the large Arab turnout.
2.
Unstable minority government (25%): Requires Arab party support. Both Lieberman and Bennett have said they cannot sit with Arab parties post-7 October. Internal divisions within the anti-Netanyahu bloc—including 7 October survivors unwilling to partner with parties that do not designate Hamas as a terrorist organization—make this unlikely. Even if assembled, it would be viewed as illegitimate by a large share of Israelis and would likely b prove unstable.
3.
National unity government (20%): Would require Eisenkot, Bennett, or Lieberman to join a Netanyahu-led coalition, almost certainly with a rotation arrangement. All three publicly called Netanyahu a danger to Israel's existence before the election. The precedent of Benny Gantz—who entered a rotation deal in 2020, never received his turn, and is now known colloquially as a "sucker"—makes this a very hard sell. Netanyahu's post-election speech made no overture toward unity; he declared that the political right had won and signaled he intends to form a right-wing government. President Donald Trump may apply pressure—including potentially hosting Netanyahu and Eisenkot at the White House—to push toward a unity government.

Iran: Escalation Likely, Duration Uncertain

Netanyahu has been explicit about wanting to resume operations against Iran, framing his next government's goal as "finishing the job" and even referencing bringing down the Iranian regime—though he stopped short of specifying military means exclusively. Shapiro flagged that Trump has reportedly signaled to Gulf states to expect a "short, intense" round of fighting after the US midterm elections (see: The US will likely strike Iran in mid-November , 27 October 2026).

The core tension: Intensity is controllable by the US and Israel; duration is not. Iran retains meaningful tools—attacking Gulf energy infrastructure, cooperating with the Houthis to take Saudi oil production offline, targeting data centers, undersea cables, or US naval vessels, or escalating missile strikes on

Israel. Hardline Iranian leaders may calculate that absorbing pain while prolonging the conflict damages Trump's presidency and positions Iran better under a post-Trump administration.

Shapiro's basecase: The conflict is more likely to persist in some form—blockades, escorts, periodic escalations—for the remainder of Trump's term than to resolve via a deal. He assessed Iranian leaders as having low incentive to offer the concessions on the Strait of Hormuz or the nuclear program that would unlock a deal.

Netanyahu also ran into resistance pre-election from IDF Chief of Staff General Eyal Zamir, who publicly signaled that he saw no imminent Iranian threat requiring immediate action and resisted what he characterized as politically motivated pressure to take military action.

Domestic Paralysis and the Knesset Dynamic

With the new Knesset likely to seat an anti-Netanyahu majority, the incoming speaker will probably come from Eisenkot's party. This opens legislative pathways that could include: A state commission of inquiry on the 7 October attack; term limits on the prime minister; or legislation barring an indicted politician from serving as prime minister (Netanyahu is currently under indictment and can serve as PM but not in any other ministerial role).

Shapiro noted a 2020 precedent in which then-Likud Speaker Yuli Edelstein refused to convene the new Knesset, was ordered by the Supreme Court to do so, and resigned rather than comply. He expects a similar legal trajectory this time, ultimately resulting in a new speaker being seated. Whether that bloc can maintain the coordination required to legislate—including managing demands from the Arab parties—is uncertain.

Economic Resilience vs. Medium-Term Structural Risk

The Israeli Central Bank has forecast growth over 5% in 2026 and more than 7% in 2027—figures Shapiro described as "awfully rosy." He attributed near-term resilience to the high-tech and defense sectors, the latter benefiting from global demand for battle-tested Israeli technology.

Medium-term risks center on demographic trends: The ultra-Orthodox population is growing rapidly, is largely outside the modern labor market and military, and is driving draft-exemption politics. There are early signs of brain drain among mobile, tech-sector workers who are dissatisfied with the lack of burden-sharing and other conditions in Israel.

Key Watch Items

1.
Final ballot count: Soldier votes (double-envelope ballots) will likely reduce Arab party seat totals modestly; watch whether the final tally shifts the Knesset seat gap materially.
2.
President Herzog's mandate decision: Whether he assigns the first government formation attempt to Netanyahu or Eisenkot will depend heavily on whether Arab parties formally recommend Eisenkot—watch that signal closely.
3.
Trump intervention: Any White House invitation or social media pressure targeting Israeli coalition dynamics would be a significant variable in the unity government scenario.
4.

Post-midterm Iran escalation: Watch for US-Israel coordination signals after the US mid-term elections.
5.
New Knesset speaker election: The legal and political battle over the speakership will be an early test of whether the anti-Netanyahu bloc can act cohesively on legislation.
6.
Ultra-Orthodox draft enforcement: IDF shortfall of ~10,000 soldiers is an active pressure point; watch for arrests, protests, or court rulings on conscription enforcement as a political accelerant.

What Clients Are Asking

Trump's incentive to continue the Iran war post-midterms: Clients questioned why Trump would sustain a costly conflict given political headwinds. Shapiro's answer: Trump is frustrated by an eight-month conflict that didn't produce the quick regime change he anticipated after Venezuela, and post-midterms as a lame duck he is less constrained by electoral politics—though Shapiro was explicit that Trump's decision-making remains unpredictable.

Caretaker PM powers and constraints: The question centered on whether Netanyahu's authority would be limited during a formation period. Shapiro's answer: he retains full PM powers, but faces an unfriendly Knesset, a potentially adversarial Attorney General, and an IDF leadership with demonstrated willingness to push back on politically motivated military action; major policy changes would face legal challenge.

Prospect of Netanyahu ditching far-right coalition partners: Clients asked whether Netanyahu might jettison Ben Gvir and Smotrich to open a unity path. Shapiro assessed this as possible but noted Netanyahu's post-election speech contained zero overture in that direction; any such move would be tied to personal legal protections (a pardon or plea deal) for Netanyahu and a structured rotation—and the ultra-Orthodox draft question would remain a sticking point regardless.

Long-term IDF manpower implications of demographic trends: The IDF is currently short ~10,000 soldiers while operating at high tempo. Shapiro flagged that as the ultra-Orthodox and Arab populations grow as a share of the total citizenry, the burden on those who do serve intensifies—and the opposition's proposal for universal national service (including non-military service for Arab Israelis) remains politically relevant even without a governing majority to implement it.

Israeli business environment and past gridlock precedents: Clients drew a parallel to the 2019–2022 five-elections-in-four-years period. Shapiro noted that period overlapped with COVID and Israel still outperformed most Western economies, partly because its high-tech-heavy economy was structurally more resilient to lockdowns. He assessed near-term economic risk as limited but flagged medium-term demographic drag as the more serious concern.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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